



78%
of groups reach
solutions to
simple tasks
faster in
centralized
structures

100%
of groups reach
solutions to
complex tasks
faster in
decentralized
structures



WARNING

When change is needed

Signs that a structure is not working include low morale and high staff turnover, no new products being developed, and profit suddenly accelerating or decelerating. Tools to amend poor structure include:

› **Business process reengineering (BPR)** Analyzing and redesigning the workflow within a company.

› **Altering the reporting line**
In a traditional solid-line reporting relationship, one line manager oversees goals and performance. It can be beneficial to switch to the weaker chain of a dotted-line reporting relationship, in which a manager sets some but not all the objectives.

Network

Suits creative and technology companies in which everyone is online. See pp.72–73.



**CORE COMPANY
COLLABORATES
WITH VIRTUAL
COMMUNITY**

Team-based

For companies that rely on innovation and are customer focused. See pp.74–75.



**STAFF SELF-
COORDINATE**

Decentralized

Power is spread through the company, and staff make their own decisions.

- › Power shared
- › Organic
- › Experimental
- › Flexible
- › Fast response to change

